

CfC Insurance Holdings Limited

The Board of Directors of CfC Insurance Holdings Limited is pleased to announce the results of the Group for the year ended 31 December 2011

Consolidated statement of financial position

	31 December 2011	31 December 2010 (Restated)	31 December 2009 (Restated)
	Shs'000	Shs'000	Shs'000
Ordinary share capital	515,270	515,270	200
Ordinary share premium	1,701,239	1,701,239	594,800
Revenue reserves	1,134,938	(45,955)	(598,937)
Other reserves	522,369	2,216,914	333,244
Equity attributable to equity holders	3,873,816	4,387,468	329,307
Non-controlling interest	300,781	289,191	-
Total equity	4,174,597	4,676,659	329,307
REPRESENTED BY:			
Assets			
Property and equipment	1,056,551	1,092,963	691,093
Intangible assets	119,966	167,050	153,628
Goodwill	1,254,995	1,254,995	1,084,649
Investment property	623,553	545,300	354,000
Investments in associates	355,400	313,180	-
Financial investments	14,510,876	15,084,710	9,329,227
Receivable arising from reinsurance	216,266	155,715	-
Receivable arising from direct insurance	740,559	544,816	-
Reinsurers' share of insurance liabilities	2,117,135	1,410,496	42,019
Deferred acquisition costs	137,510	169,941	29,178
Other receivables	300,121	170,737	2,682
Deferred income tax	57,548	16,095	-
Tax recoverable	103,447	71,429	-
Deposits with financial institutions	2,038,661	2,181,279	541,859
Cash and bank balances	660,945	648,923	112,586
Total assets	24,293,533	23,827,329	12,340,921
Liabilities			
Insurance contract liabilities	6,689,310	6,027,195	3,484,257
Deposit administration liabilities	9,237,856	8,703,273	6,160,510
Unearned premium reserve	2,242,031	1,853,053	264,426
Creditors arising from direct insurance	72,731	68,197	-
Creditors arising from reinsurance	475,480	279,284	20,674
Deferred acquisition costs	77,867	62,858	-
Other payables	715,969	1,210,210	1,581,747
Deferred income tax	-	73,391	-
Current income tax payable	32,980	33,364	-
Special dividend payable	-	231,034	-
Borrowings	504,621	500,000	500,000
Bank overdraft	70,091	108,811	-
Total liabilities	20,118,936	19,150,670	12,011,614
Net assets	4,174,597	4,676,659	329,307

Consolidated statement of cashflows

	31 December 2011	31 December 2010
	Shs '000	Shs '000
Cash flow from operating activities	(615,002)	196,519
Interest received	1,228,388	754,503
Income tax paid	(197,803)	(260,484)
Net cash from operating activities	415,583	690,538
Cash flows used in investing activities	(260,332)	(819,470)
Cash flows from in financing activities	(248,776)	736,345
Currency translation differences	1,649	22,109
Net increase in cash and cash equivalents	(91,876)	629,522
Cash acquired on acquisition	-	1,437,424
Cash and cash equivalents at 1 January	2,721,391	654,445
Cash and cash equivalents at end of year	2,629,515	2,721,391

Consolidated statement of changes in equity

	Share capital Shs '000	Share premium Shs '000	Other reserves Shs '000	Revenue reserves Shs '000	Non- controlling interest Shs '000	Total Shs '000
At 1 January 2011 (As restated)	515,270	1,701,239	2,216,914	(45,955)	289,191	4,676,659
Net profit for the year	-	-	-	919,334	31,084	950,418
Other comprehensive income	-	-	(1,694,545)	261,559	(1,752)	(1,434,738)
Dividend paid to non-controlling interests	-	-	-	-	(17,742)	(17,742)
At 31 December 2011	515,270	1,701,239	522,369	1,134,938	300,781	4,174,597

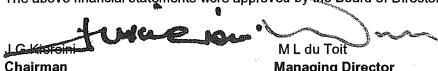
Message from the Directors

The consolidated statement of financial position, consolidated income statement, consolidated statement of comprehensive income, consolidated statement of cash flows and consolidated statement of changes in equity are extracts from the financial statements of CfC Insurance Holdings Limited.

CfC Insurance Holdings Limited is the holding Company of the following operating entities: CfC Life Assurance Limited and The Heritage Insurance Company Kenya Limited. The December 2010 results include eight months of the Heritage Group and twelve months of CfC Life Assurance Limited, CfC Investments Limited and CfC Insurance Holdings Limited.

The consolidated profit after tax for the year was Shs 950 Million up from Shs 260 Million in 2010. The improved performance is mainly the result of operational strategies that have been implemented to deliver on the Group's business efficiency objectives. These results show strong resilience in a market that was characterized by a declining stock market, rising interest rates, and inflation that negatively affected the valuation of the Group's financial investments leading to reduction in the Group's comprehensive income. The financial statements have been adjusted to take account of corrections in the valuation of financial investments and actuarial liabilities in the prior years.

The above financial statements were approved by the Board of Directors on 28 March 2012 and signed on its behalf by:


M L du Toit
Chairman
Managing Director

G R May
Director


Caroline Kiomi
Company Secretary